

is the juiciest part of the ride. I catch the first part of the trend, which is the hardest part. I am getting better at extending it, but I am not there for as much of the ride as I should be.

Here is what I don't get. It seems that in all the price moves where the market is in Cuckooland, as you term it, once the market finally breaks, it usually keeps on going. Why participate in only the first few weeks of the new trend when these types of markets will run at least six months to a year or longer once they turn? Why trade only the first price break from the highs? After you get out, why not reenter from the short side on a bounce? The very fact that you committed to a major short position is itself an indication that when the market does break, it is likely to carry on for some time and some distance. If you went back and checked those trades where you took a maximum position, anticipating a major market reversal, I would bet that in every case, the market kept on going after it finally broke.

That's 100 percent true. I understand that, and yet I don't have the patience to sit there every day with the same positions. The next level down is something that I don't have the trust to stay with.

But that trust should come from your own prior conviction to put on a maximum position before the market turned. The very fact that you were in that trade is itself a great indicator that the trend will likely continue in the other direction once the market has broken. You have this great indicator—not an indicator on a chart, but an internal radar—that identifies potential major market turning points. You also have a talent for trading in and out of a position. Why not combine those skills? Take, for example, the commodity peak in 2008. You anticipated that top, went short in the last stage of the rally, and then took your profits on the first break after the highs. Why not at that point say, "This market was way overdone. It's going to keep going down for a while. I'm going to get back short on a rally." Then you would be trading both in sync with your original prognostication and with the trend. And if you combine that positional bias with your skill in trading in and out of the market, you would open up a whole source of additional profit potential that you are leaving on the table.